

FAIR VALUE GAPS

& Inverse FVGs (IFVGs)

DOJO GAINS - Mentorship

FVG Quick Recap

- Fair Value Gap = Price imbalance on the chart
- Created when price moves aggressively
- 3-candle formation with a gap between 1st and 3rd candle
- Bullish FVG: Candle 3 LOW > Candle 1 HIGH
- Bearish FVG: Candle 3 HIGH < Candle 1 LOW
- Price tends to return and 'fill' these gaps

Types of Fair Value Gaps

STANDARD FVG

Gap between wicks of candle 1 & 3
Most common type

CONSEQUENT ENCROACHMENT (CE)

The 50% midpoint of the FVG - key entry level

INVERSE FVG (IFVG)

When an FVG gets violated
and becomes the opposite zone

BREAKER + FVG

FVG that forms after BOS
Higher probability zone

What is an Inverse FVG

- An IFVG forms when a regular FVG gets VIOLATED
- Price trades through the FVG instead of respecting it
- The violated FVG flips to become support/resistance
- Bullish FVG gets violated = Now acts as RESISTANCE
- Bearish FVG gets violated = Now acts as SUPPORT
- Shows a shift in market sentiment

When balance becomes imbalance again

How IFVG Forms

- 1. A standard FVG forms (bullish or bearish)
- 2. Price returns to the FVG as expected
- 3. BUT instead of bouncing, price BREAKS through
- 4. The FVG is now 'inversed' - flipped
- 5. Old support becomes resistance (and vice versa)
- 6. Look for entries at the IFVG on retest

Failed FVG = IFVG opportunity

How to Trade IFVGs

- Identify a violated FVG (price broke through)
- Wait for price to retrace back to the IFVG
- Enter in the NEW direction (opposite of original FVG)
- Bullish FVG violated = SHORT at IFVG
- Bearish FVG violated = LONG at IFVG
- Stop beyond IFVG, target next liquidity

The flip is the setup

Consequent Encroachment

- CE = The 50% midpoint of any FVG
- This is the EQUILIBRIUM of the imbalance
- Price often reacts precisely at the CE level
- Use CE as your primary entry point
- More precise than trading the entire FVG zone
- Mark the CE on every FVG you identify

50% is the sweet spot

FVG Quality Filters

- NOT all FVGs are created equal. Filter for:
- 1. FVG in line with higher timeframe trend
- 2. FVG formed during Killzone hours
- 3. FVG near a key level (support/resistance)
- 4. FVG after a liquidity sweep
- 5. FVG with strong displacement candle
- 6. First FVG in a new move (not 3rd or 4th)

FVG + Order Block = A+

- Order Block = Last candle before displacement
- FVG = The gap created by displacement
- When they overlap = Highest probability zone
- This is where institutions placed their orders
- Look for OB + FVG confluence for entries
- Even better: OB + FVG + Key Level

Common FVG Mistakes

- Trading every FVG regardless of context
- Not waiting for price to reach the FVG
- Entering before confirmation at the FVG
- Trading FVGs against the trend
- Ignoring violated FVGs (missing IFVG trades)
- Using FVGs on very low timeframes (noise)

Avoid these and level up

Key Takeaways

- FVGs show where price moved too fast
- CE (50%) is your primary entry level
- IFVG = Violated FVG that flipped direction
- FVG + Order Block = High probability setup
- Filter FVGs by trend, time, and context
- Quality FVGs with confluence = Best trades

Master FVGs, master entries